(d) as demand keeps on falling, usually producers start cutting down their labour force to adjust their overhead expenditure and the cost of production (labour-cut is not 'forced' here but, 'voluntary')—resulting in increase in the unemployment rate;

(e) if the government fails to rescue the economy from the phase of recession, the dangerous stage of ***depression*** remains the logical follow up;

(f) the rate of inflation always remains at lower levels—discouraging new investments and lending.

RECESSION

This is somewhat similar to the phase of 'depression' – we may call it a *mild form* of depression – fatal for economies as this may lead to depression if not handled with care and in time. The financial crises which followed the US 'sub-prime crisis' in almost the whole Euro-American economies has basically brought in a'severe recessionary' trends there. Major traits of recession, to a great extent, are similar to that of 'depression' [except the point (d) of the Depression, discussed earlier] – may be summed up as follows –

(a) there is a general fall in demand as economic activities takes a downturn;

(b) inflation remains lower or/and shows further signs of falling down;

(c) emloyment rate falls/unemployment rate grows;

(d) Industries resort to 'price cuts' to sustain their business.

In the financial year 1996–97, the Indian economy was taken up by the cycle of recession—basically due to a general downturn in domestic as well as foreign demands, initiated by the South East Asian Currency Crisis of mid-1990s.[80] The whole plan of economic reforms in India was derailed and it was only by the end of 2001–02 that the economy was able to recover. What may a government do to rescue the economy from the phase of recession? The usual remedies are given below: